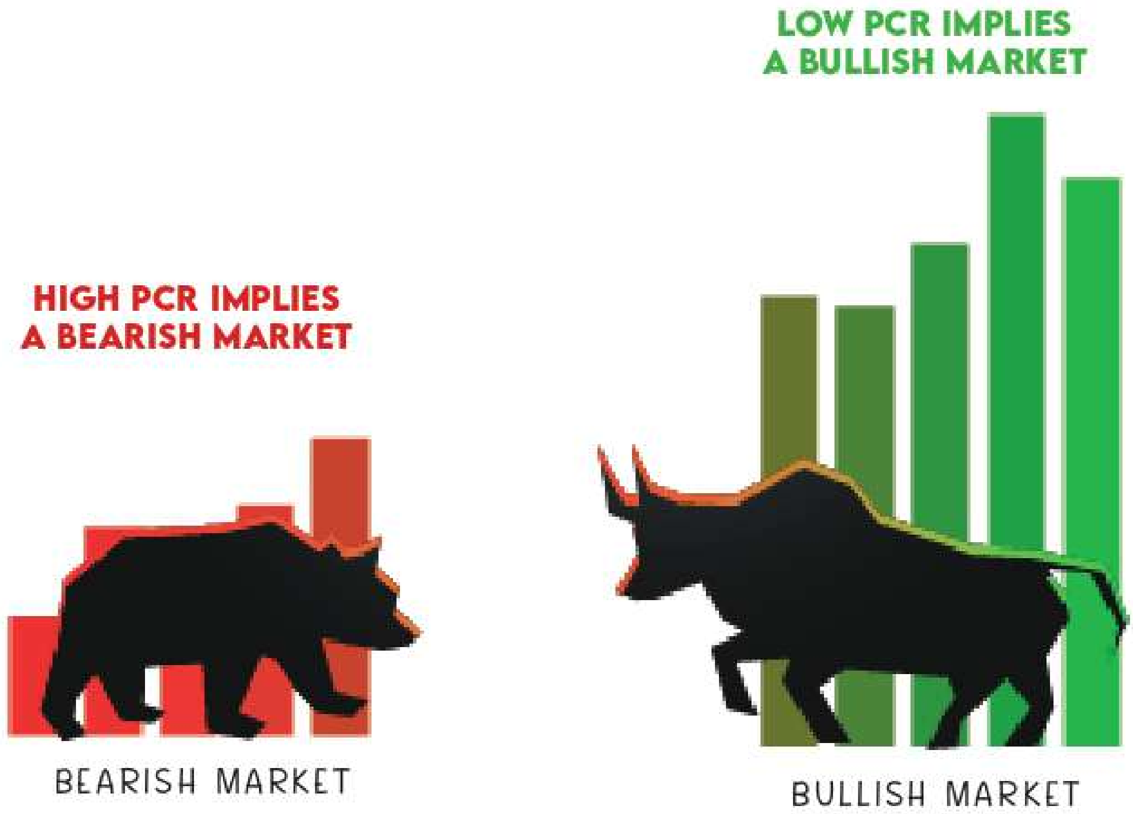
Alternatively, it can be calculated as open interest of all put options combined divided by open interest of all call options combined.

$$\text{Put-Call Ratio} = \frac{\text{Number/Volume of Put Options}}{\text{Number/Volume of Call Options}} = \frac{V_{PE}}{V_{CE}}$$

OR

$$= \frac{\text{Open Interest Put Options}}{\text{Open Interest Call Options}} = \frac{OI_{PE}}{OI_{CE}}$$

The put-call ratio is, therefore, calculated as the proportion of total put options and call options trading on a particular day. It tells us if the market sentiment around that particular asset is bullish or bearish.



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